Block practice · Paper 1: consumer choice, labour demand, unions and competition

Work through each question type in order. Each section has a worked-example retry and all further practice. Attempt only the part outlined in red.

Competition between firms: benefits and drawbacks

Why consumers may not maximise their benefit

Demand for labour: what makes firms hire

Trade unions: how they affect pay and jobs

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Practice workbook · Competition between firms: benefits and drawbacks

Rivalry between firms and its effects on firms, consumers and the economy: price, choice, quality, innovation, efficiency; innovation as a term.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-10

1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.

4 Figure 4 shows the Production Possibility Curve (PPC) for an economy making capital goods and consumer goods.

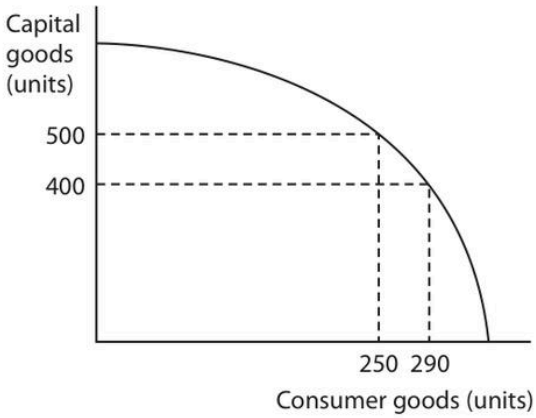


Figure 4

(a) When the current level of output is 250 units of consumer goods, calculate the **opportunity cost** of producing an additional 40 units of consumer goods. You are advised to show your working. **(2)**

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1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.

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A tagine is a type of cooking pot which is used to make meals throughout Morocco. Almost every home in Morocco has one. They have also become an increasingly popular purchase for tourists who want to take home a souvenir of their travels. Producers can sell tagines in markets all over Morocco. However, as demand has increased, many have chosen to sell in the areas visited by tourists, such as Marrakesh.

(b) With reference to the data above and your knowledge of economics, analyse how the equilibrium price of tagines sold to tourists is determined.

(6)

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1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.

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1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.

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Dahab is a seaside town in Egypt. It is a popular destination for visitors from around the world as well as other parts of Egypt. Some visitors return many times in order to enjoy the relaxing atmosphere, beach-side restaurants and water sports.

There are a large number of restaurants competing for customers. Some specialise in certain types of food. Others offer discounts for regular visits or provide live entertainment.

(c) With reference to the data above and your knowledge of economics, evaluate the likely impact of competition on restaurant customers in Dahab.

(12)

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1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

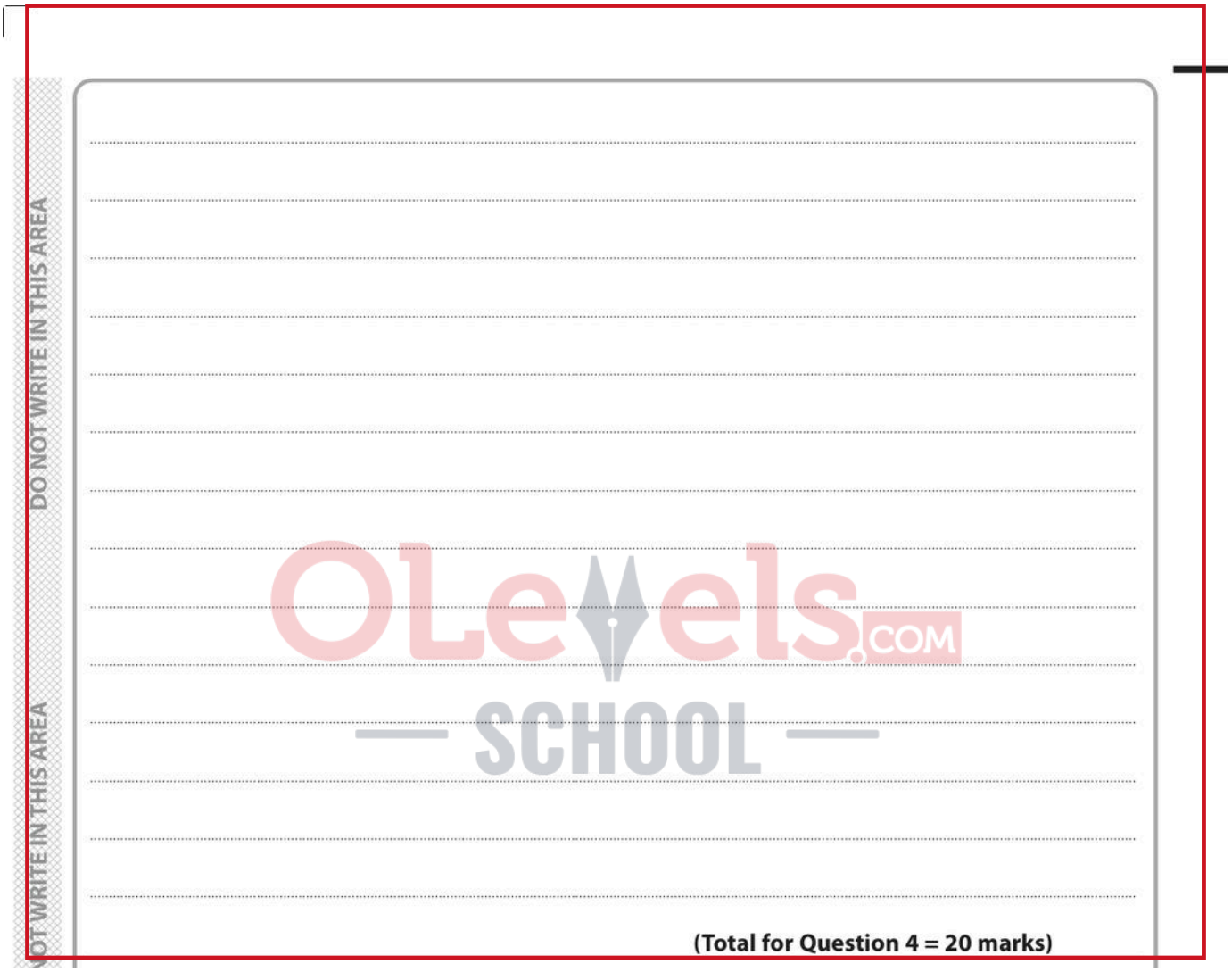
Worked-example retry · Attempt part c only.



1. Question 4 · part c · 12 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part c only.



1. Question 4 · part c · 12 marks · Working and answer

Working and answer

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

2 (a) Which **one** of the following is part of the economic problem of scarcity?

(1)

- ☒ **A** When to produce
- ☒ **B** What to produce
- ☒ **C** Whether to produce
- ☒ **D** Where to produce

A country is able to produce agricultural and non-agricultural goods. Its production possibility curve is shown in Figure 3.

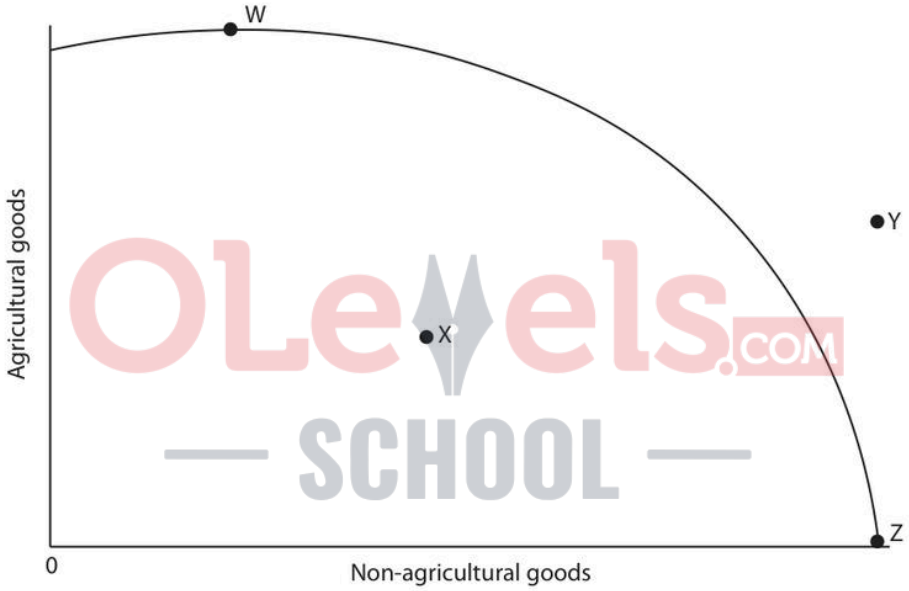


Figure 3

(b) Which **one** of the following points is **not** achievable?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

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2. Question 2 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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7

Turn over ▶

2. Question 2 · part d · 1 mark · Working and answer

Working and answer

OLevels.com SCHOOL

3. Question 2 · part f · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

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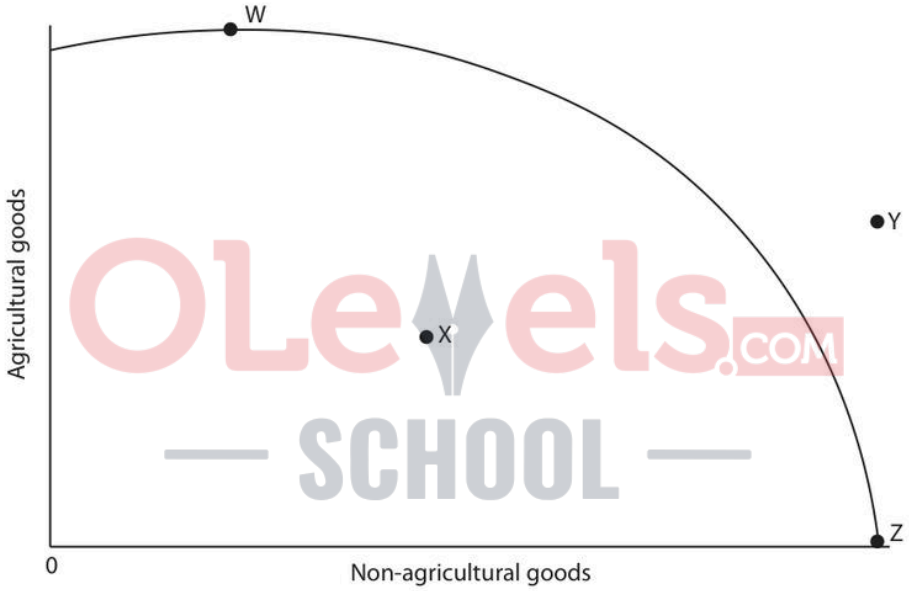


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3. Question 2 · part f · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

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3. Question 2 · part f · 2 marks

2019 JUN · Paper 01

Further practice · Attempt part f only.

Beating the congestion in Dhaka

Nearly 17 million people live in Dhaka, the capital of Bangladesh. The majority of people live in the city centre and traffic congestion is a problem. However, there are many auto rickshaws (a small, three-wheeled vehicle, driven by a motorcycle engine) competing in the city centre to take passengers to their destinations. Fares tend to be cheaper in the city centre than they are outside the city centre and are usually agreed between passengers and drivers.

Dhaka has a large number of auto rickshaws competing for fares.

(f) Apart from price, describe **one** advantage for passengers of this competition.

(2)

(g) With reference to the information given in **'Beating the congestion in Dhaka'**, explain **one** reason why prices for journeys using an auto rickshaw might be higher outside the city centre.

(3)

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3. Question 2 · part f · 2 marks · Working and answer

Working and answer

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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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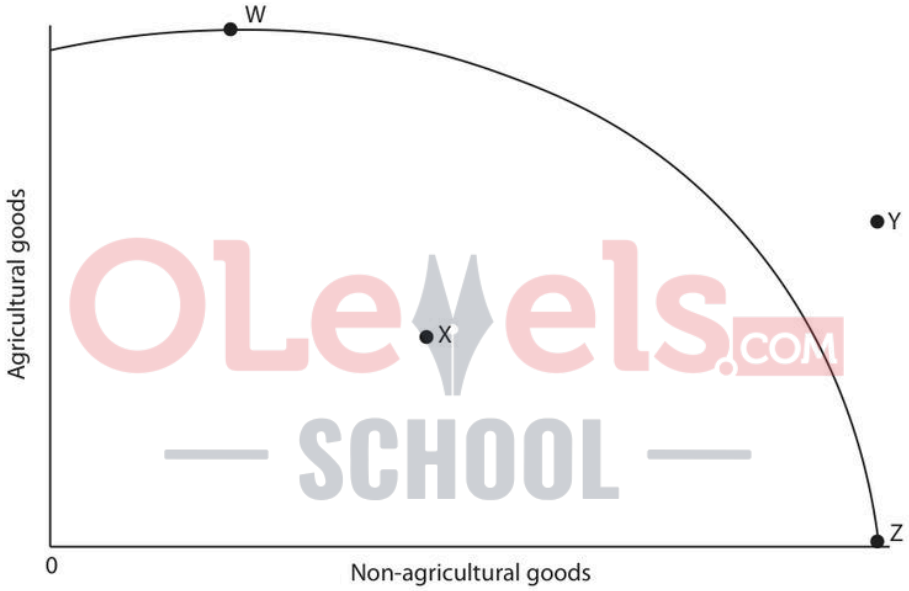


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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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(c) Calculate the price elasticity of demand for a product when price increases by 15% and quantity demanded falls by 12%. You are advised to show your working.

(2)

(d) Define the term innovation.

(1)

(e) State **one** factor that will cause a demand curve to shift to the left.

(1)

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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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4. Question 2 · part g · 3 marks

2019 JUN · Paper 01

Further practice · Attempt part g only.

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A lack of space in many busy cities means parking is an increasing problem. Japan has developed the first Automated Parking Systems (APS). These are car parks where the cars are automatically stacked. The driver takes the car to the entrance, then technology takes over, placing each car on racks, one above the other. This allows many cars to be parked in a very small area. Not only do they offer a more practical use of space than traditional multi-storey car parks, but they cost less to build. The drivers benefit from cheaper parking fees and they save time.

(Source: adapted from http://japantravelmate.com/cool-japan/things-see-japans-automated-rotary-parking-systems)



Figure 4

(Source: © pio3/Shutterstock)

(h) With reference to the data above and your knowledge of economics, assess the extent to which changes in technology may reduce the shortage of car parking spaces in city centres.

(9)

P 6 0 7 4 9 A 0 9 2 0

4. Question 2 · part g · 3 marks · Working and answer

Working and answer

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5. Question 2 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

2 (a) Which **one** of the following products has demand that is price elastic?

(1)

	Product	Price elasticity of demand (PED)
☒ **A**	**W**	−1.5
☒ **B**	**X**	−1
☒ **C**	**Y**	−0.5
☒ **D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

(c) State **one** disadvantage to firms of increased competition.

(1)

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5. Question 2 · part c · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part c only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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5. Question 2 · part c · 1 mark · Working and answer

Working and answer

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6. Question 1 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

1 (a) For which **one** of the following will demand increase when incomes decrease?

(1)

- ☒ **A** Capital good
- ☒ **B** Inferior good
- ☒ **C** Luxury good
- ☒ **D** Normal good

A firm's monthly total costs are $2 640 and monthly fixed costs are $900.

(b) Which **one** of the following equals $1 740?

(1)

- ☒ **A** Price
- ☒ **B** Profit
- ☒ **C** Average total costs
- ☒ **D** Total variable costs

(c) What is meant by the term division of labour?

(2)

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6. Question 1 · part e · 1 mark

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(d) State **one** reason why a supply curve will shift to the left.

(1)

(e) Define the term competition.

(1)

A firm sells its products at a price of € 75 per unit and has a cost per unit of € 35.

(f) Calculate the **total revenue** for the firm when its monthly sales are 250 units.
You are advised to show your working.

(2)

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6. Question 1 · part e · 1 mark · Working and answer

Working and answer

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7. Question 2 · part d · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

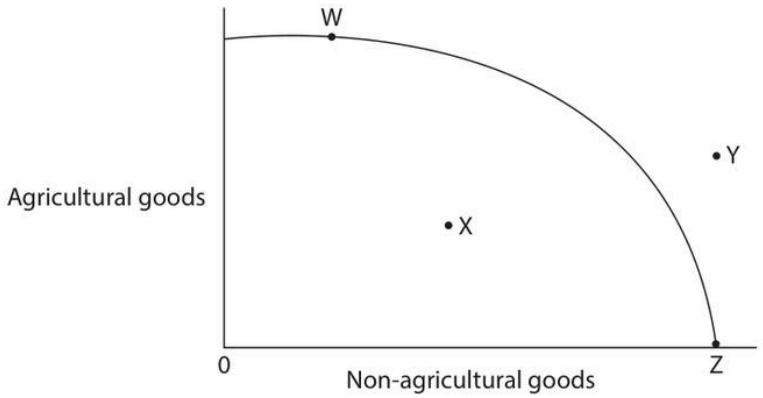


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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7. Question 2 · part d · 2 marks

2025 JUN · Paper 01

Further practice · Attempt part d only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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7. Question 2 · part d · 2 marks · Working and answer

Working and answer

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Practice workbook · Why consumers may not maximise their benefit

The assumption that consumers aim to maximise benefit, and the reasons they fall short: poor calculation, habits and copying others.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-05

1. Question 4 · part b · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

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4 Figure 6 shows financial data for a firm selling a selection of products.

Product	X	Y
Price	$3 000	$3 300
Quantity sold	50	40
Total revenue	$3 000 × 50	$3 300 × 40
PED	−0.62	−1.53

Figure 6

(a) Calculate the **total revenue** for the product that has a price elasticity of demand (PED) which is **inelastic**. You are advised to show your working.

(2)

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1. Question 4 · part b · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

For a number of years there has been an increase in obesity in Poland. Consumers of sugary drinks, such as Coca Cola and Fanta, now have to pay an additional 0.50 zloty ($0.11) per litre, following the introduction of a sugar tax. At the same time, there has been an increase in adverts for soft drinks. However, consumers are still buying these drinks even though they are now more expensive.

(Source adapted from: https://retailmarketexperts.com/en/news/2021-retail-tax-and-sugar-tax-come-into-force/)

(b) With reference to the data above and your knowledge of economics, analyse the reasons why consumers may not maximise their benefit when consuming sugary drinks.

(6)

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1. Question 4 · part b · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

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1. Question 4 · part b · 6 marks

2023 JAN · Paper 01 (regional R)

Worked-example retry · Attempt part b only.

NT Massage is a small but successful, family-run business in a residential part of Hong Kong. It offers traditional foot and head massages to local residents, many of whom have been customers for many years.

A younger member of the family, Mei, would like to expand the business. She wants to open a chain of shops offering foot and head massages in busier areas of Hong Kong. She would like her new employees to be fully trained, to advertise in hotels and to focus more attention on attracting custom from the 7.5 million population of Hong Kong.

Even though there would be competition from many other similar businesses, additional custom from tourists and business people would enable NT Massage to charge higher prices in the new shops.

(c) With reference to the data above and your knowledge of economics, evaluate whether the family should expand the business rather than keeping it small.

(12)

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1. Question 4 · part b · 6 marks · Working and answer

Working and answer

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2. Question 2 · part g · 3 marks

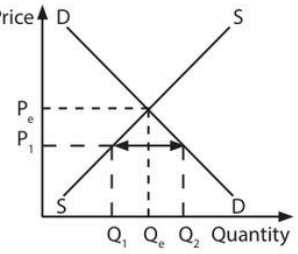
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

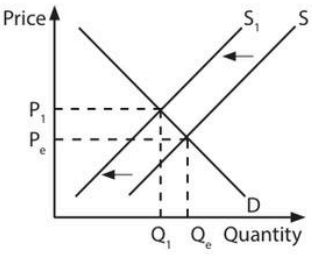
2 (a) Which **one** of the following diagrams shows excess supply?

(1)

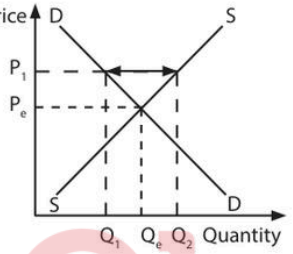
☒ **A**



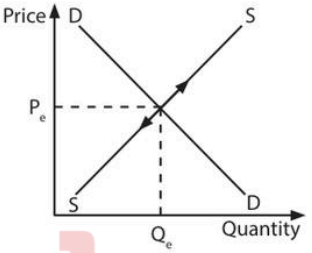
☒ **B**



☒ **C**



☒ **D**



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2. Question 2 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

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(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

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(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

2. Question 2 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

(f) Describe **one** factor that may influence the growth of a firm.

(2)

There are many health warnings about the dangers of eating too much sugar but some consumers continue to do so.

(g) Explain **one** reason why consumers may still make this decision.

(3)

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2. Question 2 · part g · 3 marks

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part g only.

Sea cucumbers are marine animals that have an important role in keeping the coral reef ecosystem healthy. US firm, Orient Seafood Production (OSP), has been fined $1.5m for over-harvesting sea cucumbers. Harvesting sea cucumbers is legal in the US. There is a limit on the quantity allowed to be harvested due to their positive impact on the coral reefs.

OSP was accused of under-reporting harvests by 113,400 kg during a two-year period. Before he paid the fine, the firm's owner had made high profits from sales to China, where there is an increasing demand.

(Source adapted from: https://www.independent.co.uk/news/world/americas/sea-cucumbers-prison-over-harvesting-orient-seafood-production-hoon-namkoong-washington-a8562046.html)

(h) With reference to the data above and your knowledge of economics, assess the effectiveness of government fines when dealing with externalities such as over-harvesting sea cucumbers.

(9)

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2. Question 2 · part g · 3 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

2

Market share by firm for a market in Azerbaijan

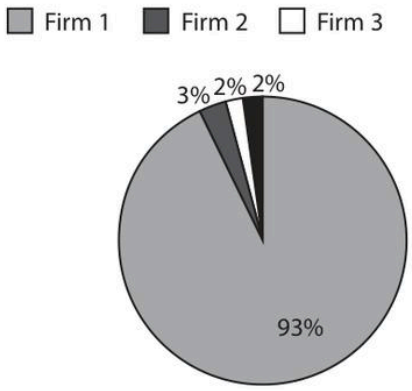


Figure 3

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 3?

(1)

- ☒ **A** Cartel
- ☒ **B** Oligopoly
- ☒ **C** Monopoly
- ☒ **D** Competitive

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may accurately calculate the satisfaction they gain
- ☒ **B** Consumers may have habits that are hard to give up
- ☒ **C** Consumers are always rational when making decisions
- ☒ **D** Consumers never copy the behaviour of others

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P 6 2 0 3 0 A 0 8 2 4

3. Question 2 · part b · 1 mark

2020 NOV · Paper 01

Further practice · Attempt part b only.

(c) State the formula for price elasticity of supply (PES).

(1)

Figure 4 shows some of the production costs in the month of May for a firm manufacturing football souvenirs in Qatar, in preparation for the 2022 World Cup.

Production costs	Qatari Riyal (QR)
Rent	5 000
Raw materials	2 000
Advertising	500
Labour (paid according to output)	15 000

Figure 4

(d) Calculate the **total variable costs** for the firm in the month of May. You are advised to show your working.

(2)

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3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part f · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

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2 (a) Which **one** of the following products has demand that is price elastic?

(1)

		Product	Price elasticity of demand (PED)
☒	**A**	**W**	−1.5
☒	**B**	**X**	−1
☒	**C**	**Y**	−0.5
☒	**D**	**Z**	1

(b) Which **one** of the following is a situation when firms in a growing industry all benefit from lower average costs?

(1)

☒ **A** Internal economies of scale

☒ **B** External economies of scale

☒ **C** Diseconomies of scale

☒ **D** Technical economies of scale

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(c) State **one** disadvantage to firms of increased competition.

(1)

4. Question 2 · part f · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

A firm has total fixed costs of $75 000 per month and variable costs of $525 per unit. It produces 1350 units per month.

(d) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

(e) Define the term takeover.

(1)

(f) Describe **one** reason why consumers do not always maximise their benefit from the consumption of a product.

(2)

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8

P 6 6 3 2 7 A 0 8 2 4

4. Question 2 · part f · 2 marks

2022 JUN · Paper 01

Further practice · Attempt part f only.

Figure 2 shows the supply of wheat in a region during 2019.

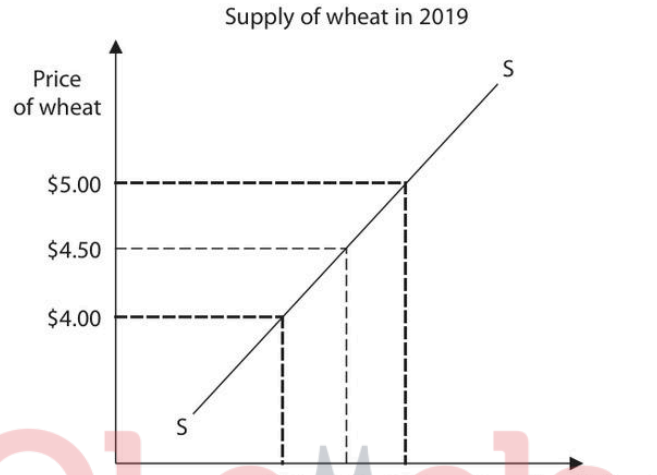


Figure 2

(g) Explain **one** effect on the supply curve of wheat following a change in the price of wheat.

(3)

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4. Question 2 · part f · 2 marks · Working and answer

Working and answer

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5. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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5. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

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(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

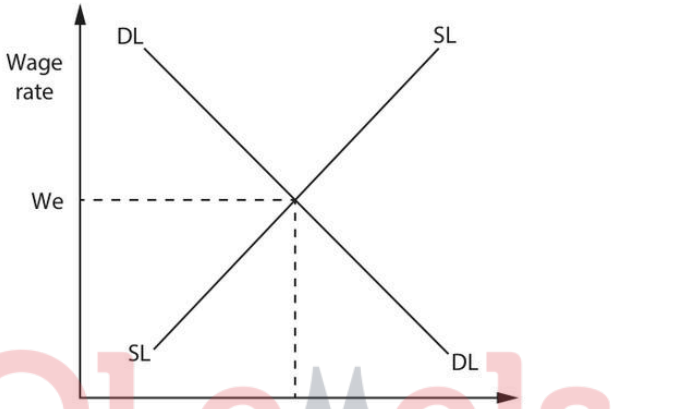


Figure 4

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5. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

Studies have shown that there are a number of negative impacts from spending too much time using a mobile phone. These include pain in the thumbs, loss of sleep and anxiety. Despite this, it is not unusual for people to spend a lot of time using their phone, even in the presence of others.

(d) With reference to the data above and your knowledge of economics, analyse why some people may ignore the negative impacts of spending a lot of time using a mobile phone.

(6)

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5. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.



5. Question 3 · part d · 6 marks

2023 JUN · Paper 01

Further practice · Attempt part d only.

Manufacturing is an important part of any economy because as well as providing many products, it generates income and tax revenue. Governments can use this tax revenue to provide things such as health care and education, which are part of the tertiary sector.

(e) With reference to the data above and your knowledge of economics, assess the role of the secondary sector in an economy.

(9)

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5. Question 3 · part d · 6 marks · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

2

Market share by sales of firms in a market in Kuwait

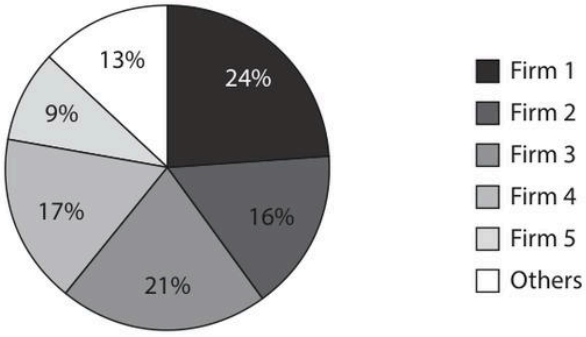


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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8

P 7 5 9 5 4 A 0 8 2 4

6. Question 2 · part b · 1 mark

2024 NOV · Paper 01

Further practice · Attempt part b only.

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Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7000
Raw materials	3000
Advertising	1300
Labour (paid according to output)	18000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

(d) What is meant by the term total revenue?

(2)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 1 · part a · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part a only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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P 7 2 1 3 2 A 0 2 2 4

7. Question 1 · part a · 1 mark · Working and answer

Working and answer

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Practice workbook · Demand for labour: what makes firms hire

Labour demand as derived from demand for the final product, affected by machines as substitutes and by workforce productivity.

5 question parts: 1 worked-example retry and 4 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-17

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

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(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

Figure 1 shows the market for cars.

(g) Using the diagram below, draw the likely effect on the market for cars following a rise in the costs of raw materials. Label the new curve, the new equilibrium price and the new equilibrium quantity.

(3)

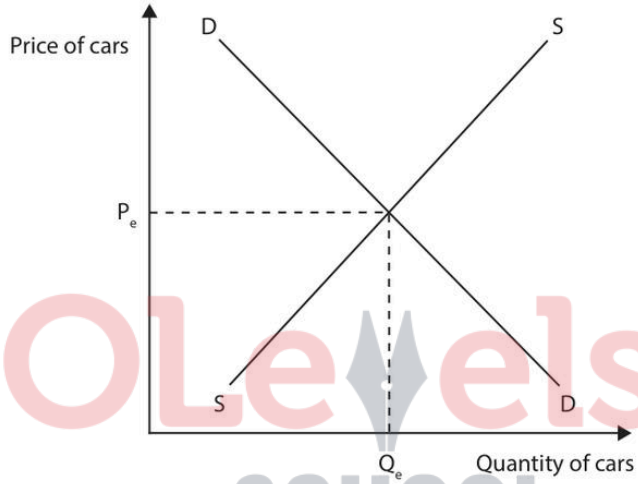


Figure 1

In April 2023, the Competition and Markets Authority (CMA), the competition regulator in the UK, prevented the purchase of Activision by Microsoft. Microsoft already controlled about 60–70% of the market for online video gaming.

(h) Explain **one** reason why the CMA may have made this decision.

(3)

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P 7 2 1 3 2 A 0 4 2 4

1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.

As a result of changes in consumer tastes, the demand for furniture made of wood is expected to increase by about 5% in the next five years. Woodcutters are employed to cut down trees to produce the wood required to make furniture.

(i) With reference to the data above and your knowledge of economics, analyse how an increase in demand for furniture made of wood may affect the demand for woodcutters.

(6)

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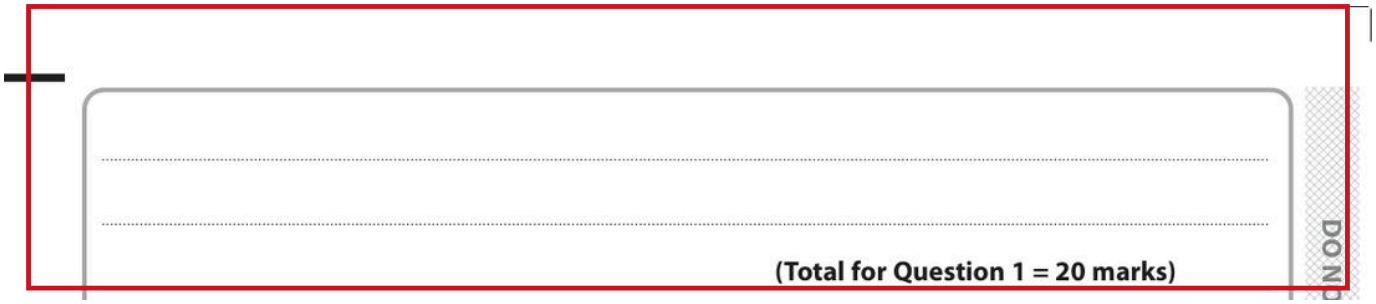
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1. Question 1 · part i · 6 marks

2025 JUN · Paper 01

Worked-example retry · Attempt part i only.



Working and answer

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

3 (a) Which **one** of the following is an example of an external economy of scale?

(1)

- ☒ **A** Bulk buying
- ☒ **B** Skilled labour
- ☒ **C** Bureaucracy
- ☒ **D** Managerial

(b) Which **one** of the following is a main feature of an oligopoly?

(1)

- ☒ **A** Rising fixed costs
- ☒ **B** No barriers to entry
- ☒ **C** Large firms dominate the market
- ☒ **D** Specialises in the public sector

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

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An economy can produce consumer and capital goods. This economy originally produced at PPC1 with all resources fully employed but due to positive economic growth, it can now produce at PPC2 with all resources fully employed.

(c) Using the axes below, draw two production possibility curves (PPC) to show an economy moving from PPC1 to PPC2. Label both production possibility curves and the axes.

(3)

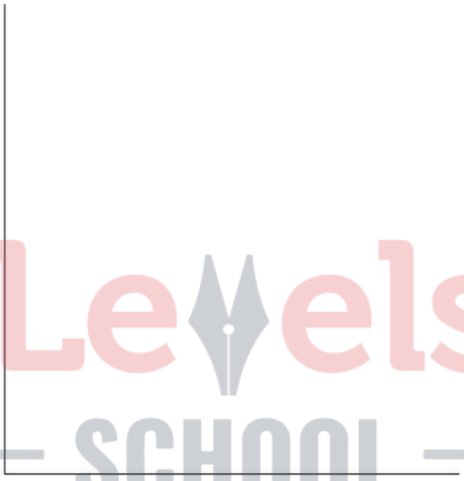


Figure 2

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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

Technology has been used to perform some of the jobs previously done for many years by humans, for example, robots in factories and self-checkout machines. This substitution of capital for labour is likely to increase as technology advances. At most call centres, humans currently respond to customer queries but Google has developed an automated assistant. Many telecom firms have switched to using calls made by these automated assistants.

(d) With reference to the data above and your knowledge of economics, analyse how the demand for labour might be affected by the use of machines.

(6)

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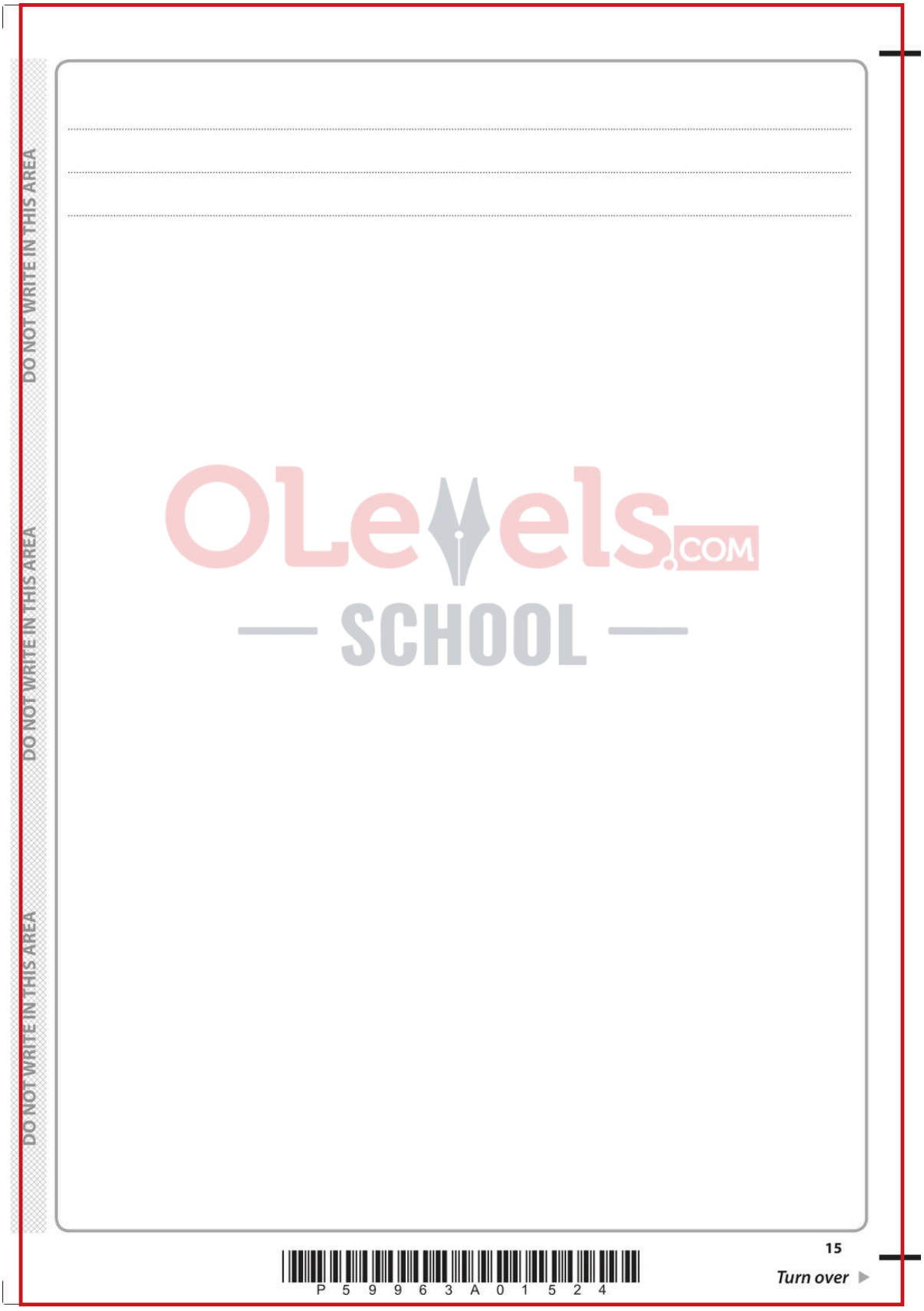
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2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.



2. Question 3 · part d · 6 marks

2020 JAN · Paper 01

Further practice · Attempt part d only.

There are many reasons for firework displays. The 'bang', 'pop' and 'whizz' sounds, along with wide-ranging displays of colourful sparks are used to celebrate religious festivals and historical occasions, as well as private and public events. Some events charge an entry fee but people are still able to see and hear the fireworks without entering the venues. Former military personnel have complained this can bring back negative memories relating to war experiences. It can also disturb animals that are frightened by the loud noises.

(e) With reference to the data above and your knowledge of economics, assess whether fireworks have more negative than positive externalities.

(9)

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16

P 5 9 9 6 3 A 0 1 6 2 4

2. Question 3 · part d · 6 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

2 (a) Which **one** of the following is the correct label to replace 'X' on the diagram below?

(1)

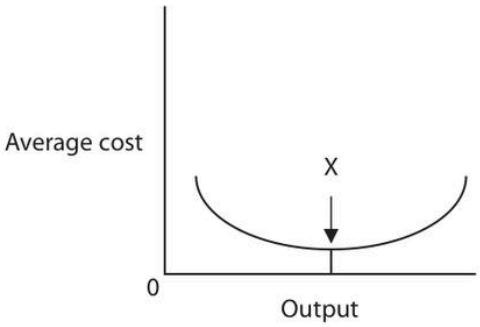


Figure 3

- ☒ **A** Internal economies of scale
- ☒ **B** External economies of scale
- ☒ **C** Total costs
- ☒ **D** Most efficient

(b) Which **one** of the following is an example of derived demand?

(1)

- ☒ **A** Consumer demand for clothes to wear
- ☒ **B** Tourist demand for foreign holidays
- ☒ **C** Producer demand for labour to make goods
- ☒ **D** Student demand for computer games to play

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3. Question 2 · part b · 1 mark

2020 NOV · Paper 01 (regional R)

Further practice · Attempt part b only.

Figure 4 shows some of the production costs in November for a firm manufacturing rugs and carpets in Pakistan.

Production costs	Pakistani Rupee (Rs)
Rent	40 250
Raw materials	20 050
Advertising	10 125
Labour (paid in direct proportion to output)	210 000

Figure 4

(c) Calculate the **total fixed costs** for the firm in November. You are advised to show your working.

(2)

(d) What is meant by the term demand?

(2)

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P 6 2 6 4 1 R A 0 1 0 2 8

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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3 (a) A pollution permit is a type of

(1)

- ☒ **A** factor of production
- ☒ **B** government intervention
- ☒ **C** economy of scale
- ☒ **D** economic assumption

(b) Which **one** of the following is likely to lead to an increase in the productivity of land?

(1)

- ☒ **A** Increase in the use of fertiliser
- ☒ **B** Decrease in the use of irrigation
- ☒ **C** Increase in the use of advertising
- ☒ **D** Decrease in the use of drainage

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4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

(c) In the box below, draw a production possibility frontier (PPF) for a firm that can produce tables and/or chairs. On your PPF, draw what would happen if the production of chairs decreased and tables increased.

(3)

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4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

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In 2019, the National Health Service (NHS) in England began a campaign to check the records of all children who had been given the measles, mumps and rubella (MMR) vaccination. Those children missing the MMR vaccination were then invited to make an appointment to receive the vaccination.

(Source adapted from: https://www.gov.uk/government/publications/mmr-catch-up-for-10-to-11-year-old-children-information-for-gps)

(d) With reference to the data above and your knowledge of economics, analyse why vaccinations may be an external benefit.

(6)

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4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.

Each year, in the UK there are an increasing number of shops closing down in town centres. At least 10% of all shops have been empty for the last five years. At the same time online sales are growing and reached more than 20% of total retail sales in 2019.

The continuing development of technology has made it easier for consumers to buy online. However, this is at a cost to some shop employees whose jobs have been replaced by machines that send out online orders from warehouses.

(e) With reference to the data above and your knowledge of economics, assess whether the availability of substitutes, such as machines, will reduce the demand for labour.

(9)

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4. Question 3 · part e · 9 marks

2022 JUN · Paper 01 (regional R)

Further practice · Attempt part e only.



4. Question 3 · part e · 9 marks · Working and answer

Working and answer

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5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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4 The demand for meals over three lunchtimes at a café in Austria is shown below.

Day	Quantity of meals demanded
Thursday	58
Friday	64
Saturday	79

Figure 5

(a) Calculate the **excess supply** of meals if the quantity supplied during these three days totalled 261. You are advised to show your working.

(2)

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5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

The market structure of the airline industry is an oligopoly. Major airlines, such as Emirates, Lufthansa, Qantas and Delta Airlines compete with one another over the routes they offer. Passengers are able to travel to countries worldwide for work, leisure and to visit family and friends.

(b) With reference to the data above and your knowledge of economics, analyse the benefits of this type of market structure for airline passengers.

(6)

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5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

During music festivals and sporting events, such as football matches, higher numbers of security staff are employed at stadiums than at other times. At supermarkets, more employees are needed to sell an increased amount of groceries ahead of special holidays and national celebrations.

Technological advances mean that machines are increasingly used in many industries, especially where it leads to greater productivity. These can range from waiters being replaced by robots in restaurants, to automated services dealing with online customer issues, to the more traditional machinery used in manufacturing.

(c) With reference to the data above and your knowledge of economics, evaluate the extent to which derived demand affects the demand for labour.

(12)

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5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.

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P 7 4 0 5 7 A 0 2 1 2 4

21

Turn over

5. Question 4 · part c · 12 marks

2023 JUN · Paper 01 (regional R)

Further practice · Attempt part c only.



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5. Question 4 · part c · 12 marks · Working and answer

Working and answer

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Practice workbook · Trade unions: how they affect pay and jobs

What trade unions are and how collective bargaining and strikes affect pay, conditions, employment and firms.

7 question parts: 1 worked-example retry and 6 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T12-20

1. Question 3 · part e · 9 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part e only.

3 (a) Which **one** of the following could be described as an economic need?

(1)

- ☒ **A** Haircut
- ☒ **B** Holiday
- ☒ **C** Shelter
- ☒ **D** Smartphone

(b) Which **one** of the following is an example of an external benefit?

(1)

- ☒ **A** Education
- ☒ **B** Air pollution
- ☒ **C** Overcrowding
- ☒ **D** Resource depletion

(c) Draw a supply curve on the diagram below that has price elastic supply (PES). Label the impact of a price change from P_1 to P_2 and its impact on quantity from Q_1 to Q_2.

(3)



Figure 3

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part e only.

Every year in the UK, heavy rainfall is a cause of severe flooding in some areas. Calderdale in Yorkshire has been badly affected for a number of years. Increased water levels from the River Calder caused damage to residential properties, business premises and roads. The UK Government provided a £32m flood defence scheme to try to reduce the problem.

(Source adapted from: https://www.halifaxcourier.co.uk/news/politics/ps44m-to-be-spent-on-flood-defences-in-hebden-bridge-3327606)

(d) With reference to the data above and your knowledge of economics, analyse why the UK Government might provide flood defences.

(6)

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part e only.

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1. Question 3 · part e · 9 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part e only.

In 2021, Morrisons, a leading UK-based supermarket chain, became the first in the retail industry to pay workers at least £10 per hour. This increased its hourly wage rate from £9.20 to at least £10 per hour for its 110,000 workers. This increase was a result of negotiations with the trade union, Usdaw. The majority of Morrisons' workers are trade union members.

(Source adapted from: https://www.hrmagazine.co.uk/content/news/morrisons-is-the-first-uk-supermarket-to-pay-minimum-10-an-hour)

(e) With reference to the data above and your knowledge of economics, assess the impact of trade union activity on Morrisons and its employees.

(9)

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P 7 1 5 5 5 A 0 1 6 2 4

1. Question 3 · part e · 9 marks

2023 JAN · Paper 01

Worked-example retry · Attempt part e only.

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(Total for Question 3 = 20 marks)

1. Question 3 · part e · 9 marks · Working and answer

Working and answer

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2. Question 3 · part f · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

3 (a) Which **one** of the following may result in economic growth?

(1)

- ☒ **A** Increasing unemployment
- ☒ **B** Decreasing government spending
- ☒ **C** Decreasing productivity
- ☒ **D** Increasing technological advancements

(b) Which **one** of the following is an example of an economic want?

(1)

- ☒ **A** Food
- ☒ **B** Water
- ☒ **C** Shelter
- ☒ **D** Education

The total revenue of a printing firm is $75 000 per month when it sells 100,000 newspapers. The price of a newspaper increases to $0.85 and demand falls to 95,000 newspapers per month.

(c) Calculate the new total revenue. You are advised to show your working.

(2)

(d) Using your answer to 3 (c), state the price elasticity of demand for newspapers.

(1)

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2. Question 3 · part f · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

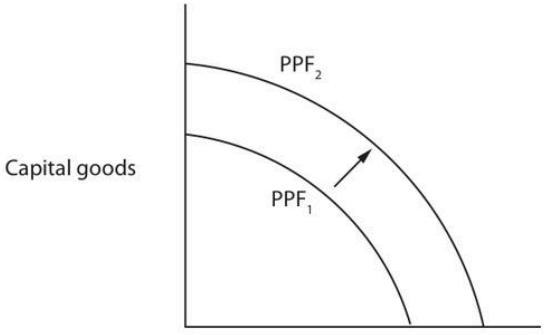


Figure 3

Figure 3 shows an outward shift in the production possibility frontier (PPF) for an economy.

(e) Analyse why the economy has moved from PPF_1 to PPF_2. (6)

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2. Question 3 · part f · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

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2. Question 3 · part f · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.

South Africa has a new trade union federation

The newly formed trade union group, the South African Federation of Trade Unions (SAFTU), aims to represent workers in the country. In the past, trade unions in South Africa have played an important role, but the influence of trade unions has declined globally in recent years. SAFTU has nearly 700,000 members and is the second largest group of trade unions in South Africa.

(Source: adapted from http://theconversation.com/south-africa-has-a-new-trade-union-federation-can-it-break-the-mould-76609)

(f) With reference to the data above and your knowledge of economics, assess how trade unions, such as those in the SAFTU, might have an impact on the labour market.

(9)

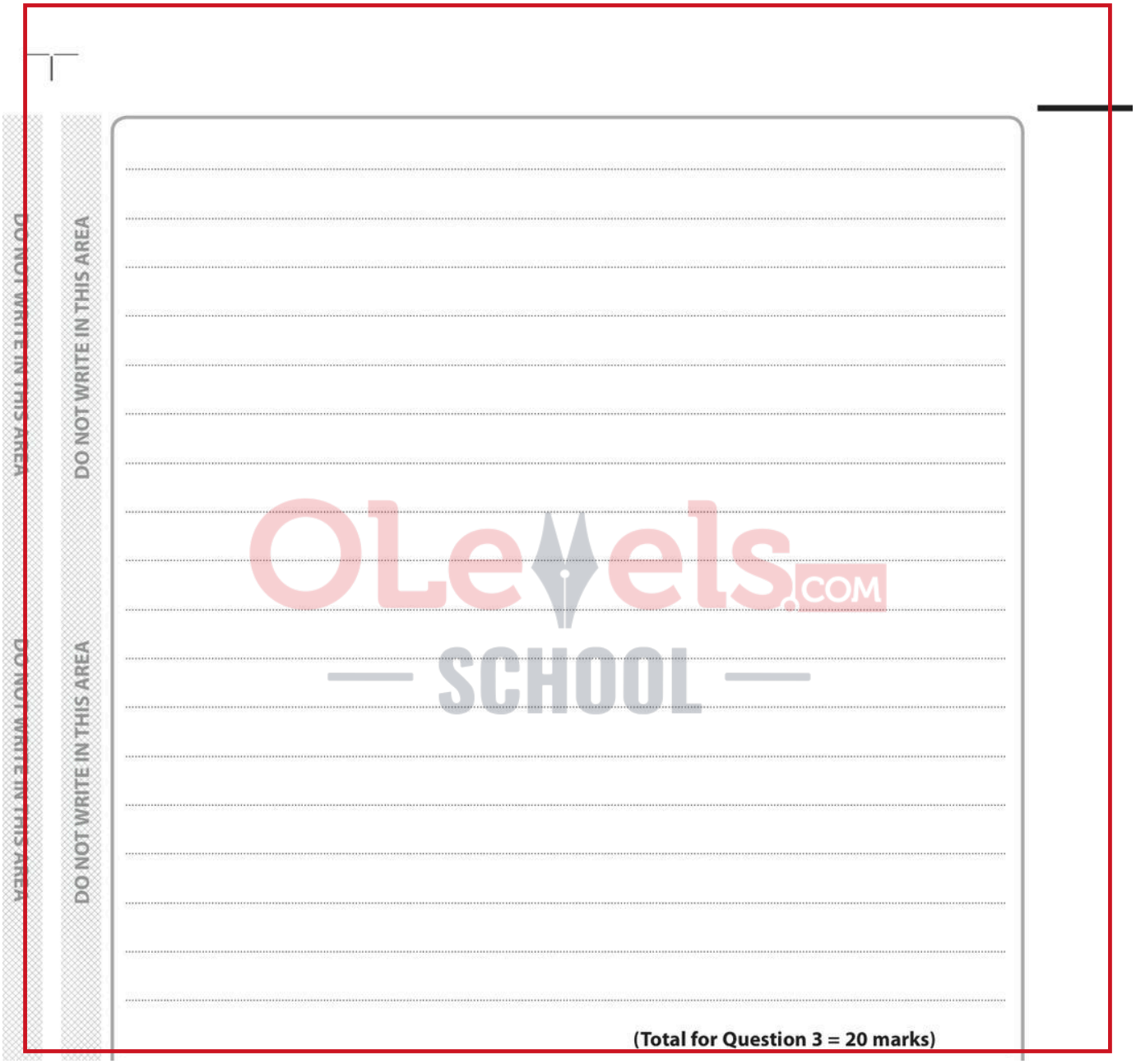
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2. Question 3 · part f · 9 marks

2019 JUN · Paper 01 (regional R)

Further practice · Attempt part f only.



2. Question 3 · part f · 9 marks · Working and answer

Working and answer

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3. Question 2 · part b · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part b only.

2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

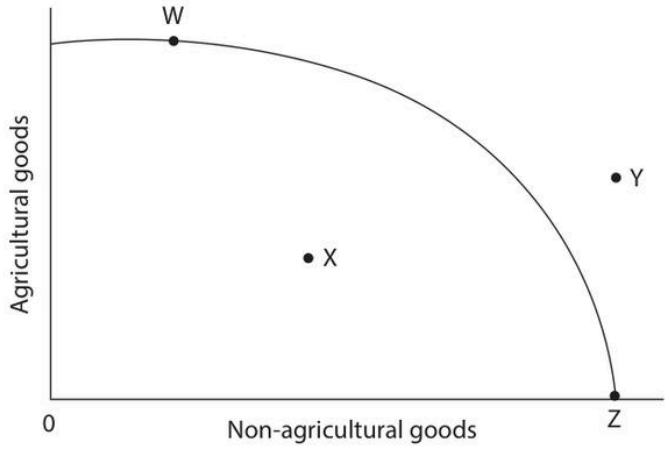


Figure 2

(a) Which **one** of the following points shows unemployed resources? **(1)**

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) A trade union is an organisation that aims to protect **(1)**

- ☒ **A** consumer interests
- ☒ **B** the environment
- ☒ **C** employee rights
- ☒ **D** the government

(c) State **one** reason why firms stay small. **(1)**

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P 6 5 8 9 7 R A 0 6 2 0

3. Question 2 · part b · 1 mark · Working and answer

Working and answer

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4. Question 2 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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4. Question 2 · part c · 2 marks

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part c only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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4. Question 2 · part c · 2 marks · Working and answer

Working and answer

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5. Question 1 · part a · 1 mark

2023 NOV · Paper 01

Further practice · Attempt part a only.

1 (a) A trade union is an organisation that aims to improve

(1)

- ☒ **A** profit margins
- ☒ **B** tax revenue
- ☒ **C** the environment
- ☒ **D** working conditions

(b) Figure 1 below shows a change in demand for tickets to a sporting event.

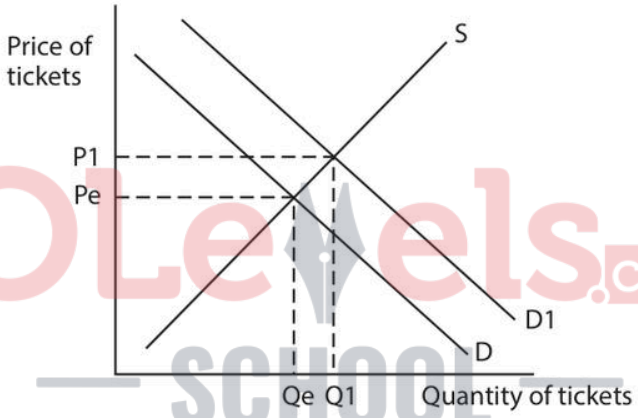


Figure 1

Which **one** of the following statements is true?

(1)

- ☒ **A** When the price falls, the quantity demanded falls
- ☒ **B** The demand curve slopes upwards from left to right
- ☒ **C** An increase in demand is shown by a shift to the right
- ☒ **D** A decrease in demand is shown by a shift to the right

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5. Question 1 · part a · 1 mark · Working and answer

Working and answer

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6. Question 2 · part g · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

2

Market share by sales of firms in a market in Kuwait

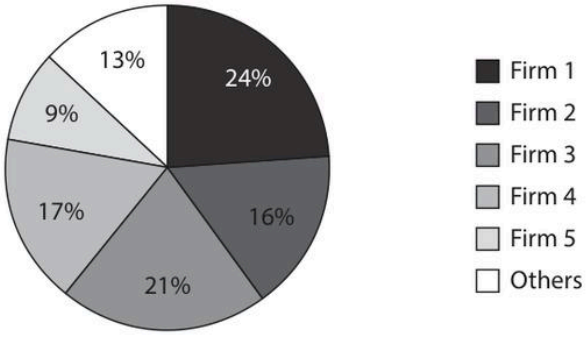


Figure 2

(a) Which **one** of the following options is the most suitable term for the type of market shown in Figure 2?

(1)

- ☒ **A** Monopoly
- ☒ **B** Oligopoly
- ☒ **C** Public sector
- ☒ **D** Labour

(b) Which **one** of the following is a reason why consumers may not maximise their benefit?

(1)

- ☒ **A** Consumers may not accurately calculate benefits
- ☒ **B** Consumers may find it easy to give up habits
- ☒ **C** Consumers never copy the behaviour of others
- ☒ **D** Rational decisions are always made by consumers

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6. Question 2 · part g · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

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Figure 3 shows some of the production costs in the month of September for a firm manufacturing rugby souvenirs in France, in preparation for the 2025 Six Nations tournament.

Production costs	Euro (€)
Rent	7 000
Raw materials	3 000
Advertising	1 300
Labour (paid according to output)	18 000

Figure 3

(c) Calculate the **total variable costs** for the firm in the month of September. You are advised to show your working.

(2)

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(d) What is meant by the term total revenue?

(2)

6. Question 2 · part g · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

(e) Describe **one** feature of a monopoly.

(2)

In 2023, the Italian Government introduced legislation to increase the number of taxis available to the public.

(f) Explain **one** reason why the Italian Government may have introduced legislation that makes it easier for new taxi firms to enter the market.

(3)

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6. Question 2 · part g · 9 marks

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Further practice · Attempt part g only.

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In April 2023, 2.5 million German transport workers and their employers agreed to a deal that ended a dispute. The dispute had caused major disruption on railways and at airports, due to strike action.

Although Germany's second largest trade union, Verdi, had been arguing for a 10.5% increase in pay, each worker instead received a 5.5% increase.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing wages, such as for the transport workers in Germany.

(9)

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P 7 5 9 5 4 A 0 1 1 2 4

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Turn over

6. Question 2 · part g · 9 marks

2024 NOV · Paper 01

Further practice · Attempt part g only.

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(Total for Question 2 = 20 marks)

6. Question 2 · part g · 9 marks · Working and answer

Working and answer

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7. Question 2 · part g · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

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2 A country is able to produce agricultural and non-agricultural goods with a given amount of resources. Its production possibility curve (PPC) is shown in Figure 2.

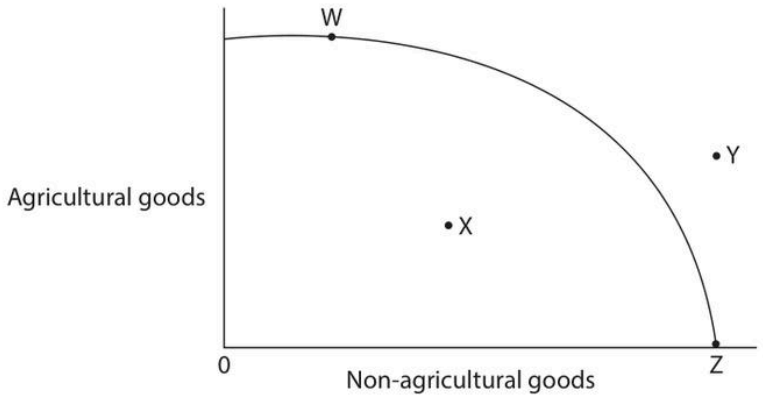


Figure 2

(a) Which **one** of the following options shows unobtainable production?

(1)

- ☒ **A** W
- ☒ **B** X
- ☒ **C** Y
- ☒ **D** Z

(b) Which **one** of the following is a factor that may affect the supply of labour?

(1)

- ☒ **A** Age distribution of population
- ☒ **B** Economies of scale
- ☒ **C** Firms aiming to maximise profit
- ☒ **D** Long run average costs

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7. Question 2 · part g · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

A firm increases supply by 5.4% following a price increase of 7.8%.

(c) Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm.
You are advised to show your working.

(2)

(d) What is meant by the term innovation?

(2)

(e) Describe **one** reason why a car mechanic is a factor of production.

(2)

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7. Question 2 · part g · 9 marks

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Further practice · Attempt part g only.

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In 2023, the President of Argentina announced plans to privatise the state-owned broadcaster, Radio Nacional.

(f) Explain **one** possible disadvantage of this privatisation for other broadcasters in Argentina.

(3)

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7. Question 2 · part g · 9 marks

2025 JUN · Paper 01

Further practice · Attempt part g only.

The Ghana Mine Workers' Union (GMWU) has been supporting workers since 1944 and currently has over 16,000 members. It has recently been able to negotiate an increase in the monthly minimum wage to $500 for mine workers. However, it is still in talks to protect jobs after a reduction in demand for products from the mines.

Its 2023 conference was attended by over 200 members of the union. The GMWU announced its focus was to promote health and safety, saying that continued efforts were needed in an ever-changing working environment.

(g) With reference to the data above and your knowledge of economics, assess the effectiveness of trade unions in increasing pay and improving working conditions for their members.

(9)

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7. Question 2 · part g · 9 marks

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(Total for Question 2 = 20 marks)

7. Question 2 · part g · 9 marks · Working and answer

Working and answer

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